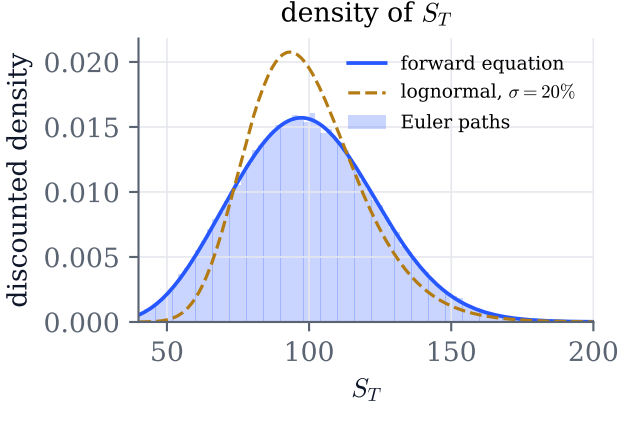
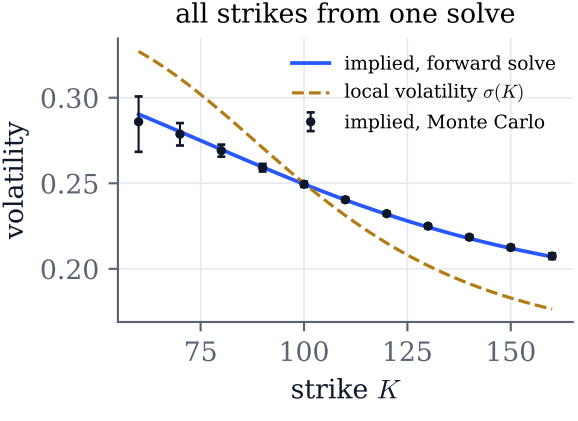

density of S_T
discounted density
0.020
0.015
0.010
0.005
0.000
50
100
150
200
S_T
forward equation
lognormal, $\sigma = 20\%$
Euler paths


all strikes from one solve
volatility
0.30
0.25
0.20
75
100
125
150
strike K
implied, forward solve
local volatility $\sigma(K)$
implied, Monte Carlo